

worst performing funds. What’s the cheapest type of fund, one that also happens to consistently outperform more than half of active funds? Index funds.

3.3. PERSISTENCE

Just like the disclaimer says, past mutual fund returns are no guarantee of future returns. Mutual fund performance just isn’t very persistent. Consistency, where it exists, is of the wrong kind: underperforming funds reliably persist in underperforming, rather than from outperforming funds continuing to generate superior returns.³²

Figure 16.4 shows mutual fund alphas controlling for the market (capital asset pricing model; CAPM) and a multifactor model with size, value-growth, and momentum factors as estimated in Carhart (1997) (see chapter 10). Funds are ranked by their return over the past year from lowest in decile 1 to highest in decile 10. The alphas are returns in excess of their risk benchmarks over the following year. Figure 16.4 shows that the average alphas, for both the CAPM and multifactor benchmarks, are negative—which means that the average mutual fund underperforms. There is some interesting persistence in CAPM alphas, but it is asymmetric. Funds with the worst returns over the last year continue to do badly and generate outperformance relative to a market benchmark of –5.4%, but funds with the best returns over the last year continue to do well and generate alphas of 2.4%.

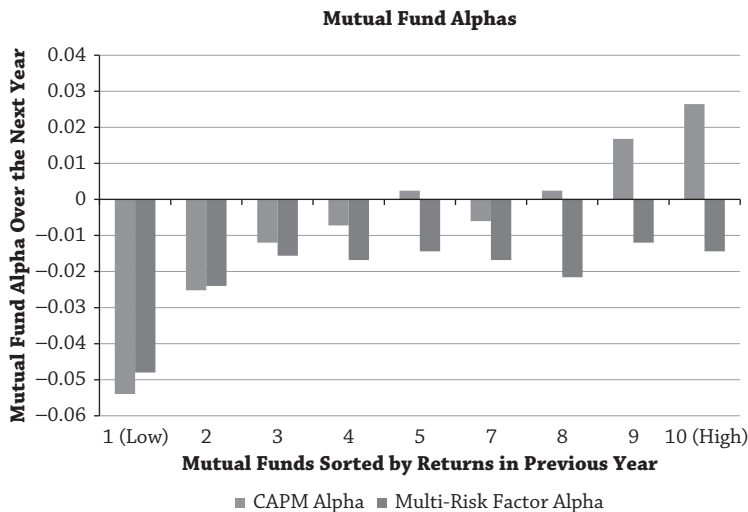


Figure 16.4

³² See Gruber (1996) and Carhart (1997).